

CLASS XI | CBSE | 2025-26

INTRODUCTORY

MICROECONOMICS

CHAPTER 5

Theory of Demand

Made by SMIT SIR

PGT Commerce | Class XI Microeconomics

smitsircommerce.netlify.app

Mobile: 6353709585

Chapter Overview

What You Will Learn:

1. Demand — meaning, individual and market demand
2. Law of Demand — statement, schedule, diagram, and exceptions
3. Determinants (factors) affecting demand
4. Change in quantity demanded vs Change in demand
5. Types of goods — Normal, Inferior, Substitute, Complementary
6. Demand function and market demand

Exam Importance: Law of Demand diagram is asked every year for 4-6 marks. "Change in Demand vs Change in Quantity Demanded" is asked almost every year for 3-4 marks. Types of goods are asked for 1-3 marks.

1. MEANING OF DEMAND

DEFINITION: Demand

Demand refers to the quantity of a commodity that a consumer is WILLING to buy AND ABLE to buy at a given price during a given period of time. Demand is NOT just a desire — it must be backed by PURCHASING POWER (ability to pay) and WILLINGNESS to buy.

Three Essential Elements of Demand:

- (a) Desire to buy the commodity.
- (b) Willingness (readiness) to pay the price.
- (c) Ability to pay (purchasing power / income).

EXAMPLE: Examples

1. Ravi WANTS a BMW car but cannot afford it → NOT demand (no purchasing power). 2. Priya WANTS a mobile phone AND has Rs. 15,000 to pay → This IS demand. 3. A beggar wants food but cannot pay → Desire but NOT demand.

2. LAW OF DEMAND

DEFINITION: Law of Demand

"Other things being equal (ceteris paribus), when the price of a good rises, its quantity demanded falls, and when price falls, quantity demanded rises." In other words, there is an INVERSE (negative) relationship between price and quantity demanded.

Demand Schedule:

Price of Good X (Rs.)	Quantity Demanded (units)
10	50
20	40
30	30
40	20
50	10

Demand Curve (DD) Diagram:

**How to Explain Demand Curve in Exam:**

X-axis = Quantity Demanded | Y-axis = Price of the commodity.

The Demand Curve (DD) slopes DOWNWARD from left to right.

This shows INVERSE relationship between price and quantity demanded.

Higher price → Less quantity demanded (movement UP the curve).

Lower price → More quantity demanded (movement DOWN the curve).

Why Does Demand Curve Slope Downward?

Reason	Explanation	Example
Law of Diminishing MU	As more units are consumed, MU falls. Consumer pays less for each additional unit.	You pay more for 1st mango than 10th.
Substitution Effect	When price of X rises, consumers shift to cheaper substitutes.	Pepsi price rises → Buy Coke instead.
Income Effect	When price rises, real purchasing power falls, so consumer buys less.	Petrol price rises → Real income falls → Buy less petrol.
New Buyers	When price falls, new consumers enter the market who could not afford before.	Mobiles got cheaper → More people buy.

Exceptions to Law of Demand (When DD Curve slopes UPWARD):

Exception	Meaning	Example
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Giffen Goods	Inferior goods where income effect is so strong that demand rises when price rises.	Bread or jowar (staple food of very poor) — price rises → poor cannot afford superior good → buy more bread.
Veblen / Prestige Goods	Luxury goods where high price itself signals status. More bought at higher price.	Diamond, branded watches, luxury cars.
Fear of Future Price Rise	Consumer buys more NOW fearing price will rise further.	Buying gold before Budget announcement.
Speculative Demand	In share market, rising prices attract MORE buyers.	Investors buy more shares when price rises.

MEMORY TRICK

Exceptions to Law of Demand = 'GVF-S' G = Giffen Goods | V = Veblen (Prestige) Goods | F = Fear of future price rise | S = Speculation Remember: These exceptions are when DD curve slopes UPWARD (positive slope).

3. DETERMINANTS (FACTORS) AFFECTING DEMAND

Factor	Effect on Demand	Direction
Income of consumer (Normal goods)	Income rises → Demand rises	Positive relationship
Income of consumer (Inferior goods)	Income rises → Demand falls	Negative relationship
Price of substitute goods	Price of substitute rises → Demand for original rises	Positive relationship
Price of complementary goods	Price of complement rises → Demand falls	Negative relationship
Tastes and preferences	Taste improves → Demand rises	Positive
Population / Number of buyers	Population rises → Demand rises	Positive
Future expectations of price	Price expected to rise → Current demand rises	Positive
Government policy / Taxation	Tax on good rises → Demand may fall	Negative (usually)

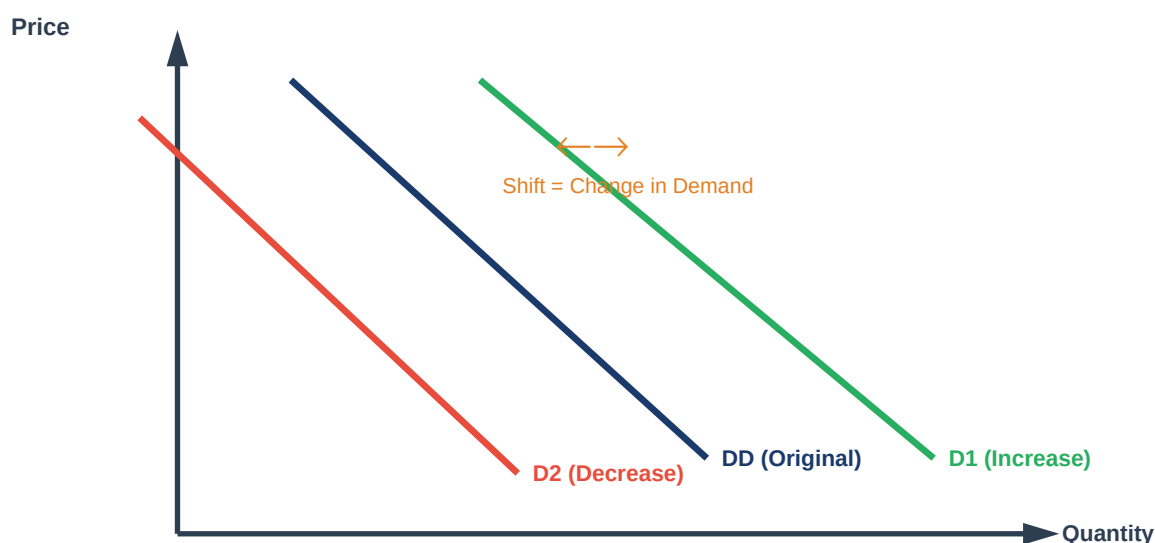
4. TYPES OF GOODS

Type of Good	Definition	Example	Demand relationship with income
Normal Good	When income rises, demand rises	Branded clothes, car, restaurant meals	Positive
Inferior Good	When income rises, demand FALLS (consumer shifts to superior substitutes)	Jowar, second-hand goods, local bus	Negative
Substitute Goods	Goods that can replace each other (competing goods)	Tea & Coffee, Pepsi & Coke, Butter & Margarine	Price of A rises → Demand for B rises
Complementary Goods	Goods used together. If demand for one rises, demand for other also rises.	Car & Petrol, Pen & Ink, Bread & Butter	Price of A rises → Demand for B falls

5. CHANGE IN DEMAND vs CHANGE IN QUANTITY DEMANDED

Basis	Change in Quantity Demanded	Change in Demand
Meaning	Change in quantity bought due to CHANGE IN PRICE (own price)	Change in demand due to change in FACTORS OTHER THAN OWN PRICE
Cause	Price of the good itself changes	Income, prices of related goods, tastes, etc. change
Movement	MOVEMENT along the same demand curve (up or down)	SHIFT of the entire demand curve (left or right)
Types	Extension (price falls, quantity rises) and Contraction (price rises, quantity falls)	Increase in demand (curve shifts right) and Decrease in demand (curve shifts left)
Diagram	Point moves along DD curve	Entire DD curve shifts to new position
Other name	Extension/Contraction of demand	Increase/Decrease in demand

Demand Curve Shift Diagram:



MEMORY TRICK

KEY DISTINCTION: PRICE changes → MOVEMENT along demand curve (extension/contraction) OTHER FACTORS change → SHIFT of demand curve (increase/decrease) Easy trick: 'Price moves the POINT. Other factors SHIFT the CURVE.'

EXAM-ORIENTED QUESTIONS

1-Mark Questions

Q1. Define Demand.

Ans. Demand is the quantity of a commodity that a consumer is willing and able to buy at a given price during a given time period.

Q2. State the Law of Demand.

Ans. Other things remaining equal, when price of a good rises, its quantity demanded falls and vice versa — inverse relationship between price and quantity demanded.

Q3. What is the shape of a normal demand curve?

Ans. The demand curve slopes DOWNWARD from left to right, showing the inverse relationship between price and quantity demanded.

Q4. Give one example of an inferior good.

Ans. Jowar (or coarse grain). When income rises, consumers shift to superior goods like wheat/rice, so demand for jowar falls.

Q5. What are complementary goods?

Ans. Goods that are used together — rise in price of one reduces demand for both. Examples: Car and Petrol, Pen and Ink.

Q6. What are substitute goods?

Ans. Goods that can replace each other. Rise in price of one increases demand for the other. Examples: Tea and Coffee.

Q7. Distinguish between extension and increase in demand.

Ans. Extension = more quantity demanded due to fall in OWN PRICE (movement along curve). Increase = more demand due to change in OTHER FACTORS (shift of curve to right).

Q8. What is a Giffen good?

Ans. An inferior good where demand increases when its price rises — the demand curve slopes upward (exception to Law of Demand).

4-Mark / 6-Mark Questions

Q1. Explain the Law of Demand with a schedule and diagram. State two exceptions. (6 marks)

Introduction: Law of Demand states that there is an inverse relationship between price and quantity demanded, other things being equal.

Schedule: Show a table with price falling (50→10) and quantity rising (10→50).

Diagram: Plot DD curve — downward sloping from left to right. Label X-axis (Quantity), Y-axis (Price), and the curve DD.

Why inverse relationship? (a) Substitution effect (b) Income effect (c) Law of DMU — all explain why more is bought at lower prices.

Exception 1: Giffen Goods — Inferior goods where income effect is very strong. Price rises but demand also rises (poor cannot afford alternatives).

Exception 2: Veblen/Prestige Goods — Luxury goods (diamond, branded goods) bought MORE at higher prices as a status symbol.

CHAPTER SUMMARY

KEY POINTS:

1. Demand = Desire + Willingness + Ability to pay. NOT just a wish.
2. Law of Demand: Price UP → Quantity DOWN (inverse relationship).
3. DD curve slopes downward (negative slope) due to Substitution Effect, Income Effect, DMU.
4. Exceptions: Giffen goods, Veblen goods, Fear of future price rise, Speculation.
5. Normal good: Income rises → Demand rises (+ve relationship).
6. Inferior good: Income rises → Demand falls (-ve relationship).
7. Substitute goods: Price of A rises → Demand for B rises.
8. Complementary goods: Price of A rises → Demand for B falls.
9. Price change → Movement along curve (Extension/Contraction).
10. Other factors change → Shift of curve (Increase/Decrease in demand).

LAST-MINUTE REVISION:

Demand = Willingness + Ability | Law of Demand = INVERSE relationship

DD slopes DOWN → Substitution + Income + DMU effects

Exceptions: Giffen + Veblen + Fear + Speculation (GVF-S)

Price changes → MOVEMENT | Other factors → SHIFT

Normal good: Income+Demand both up | Inferior good: Income up, Demand down

Substitutes: Price A up → Demand B up | Complements: Price A up → Demand B down